

Meridian Home

Market Expansion Strategy

Which Two Markets Should We Enter First?

Situation

- Meridian Home operates 47 stores concentrated in the Northeast and West Coast, with ~\$890M in annual revenue and strong brand recognition in the premium home goods segment
- The board has approved expansion into 2 new markets, targeting metros with strong homeowner demographics and limited premium competition
- Five candidate metros were identified across three growth regions: Sun Belt (Nashville, Austin, Charlotte), Mountain West (Denver), Midwest (Indianapolis)

Complication

- Not all five markets offer equivalent returns — market attractiveness, competitive density, and unit economics vary significantly across the candidates
- Entering the wrong market carries substantial risk: \$450K pre-opening investment per store, multi-year lease commitments, and reputational risk of a poorly-performing flagship in a new region
- A rigorous, data-driven framework is needed to identify the markets with the highest probability of success across 7 weighted dimensions — and to be honest about where the unit economics are still marginal

Our Recommendation

Enter Charlotte first (Q1 2026); open a single Indianapolis pilot store in parallel

- Indianapolis ranks #1 on market attractiveness (composite 4.25/5.0) — cheapest lease rate (\$22.20/sqft) and lowest competitive density of any candidate — but slower population growth (4.9%/5yr) means its financial case needs more runway to prove out than our 3-year model window
- Charlotte ranks #2 (composite 4.08/5.0), sits at Meridian's own East Coast distribution hub (zero logistics cost), and is the only recommended market that clears payback within the model horizon (~31 months)
- Combined risk-adjusted 3-year NPV is currently negative (-\$695,888) at the standard 4,500 sqft / 10-FTE format — this is a real constraint, not a rounding error, and the phased approach below is how we manage that risk
- Recommended sequencing: open Charlotte's 2-store cluster now; open 1 Indianapolis pilot store (not 2) to validate real-world performance before committing the second store there

Analytical Framework

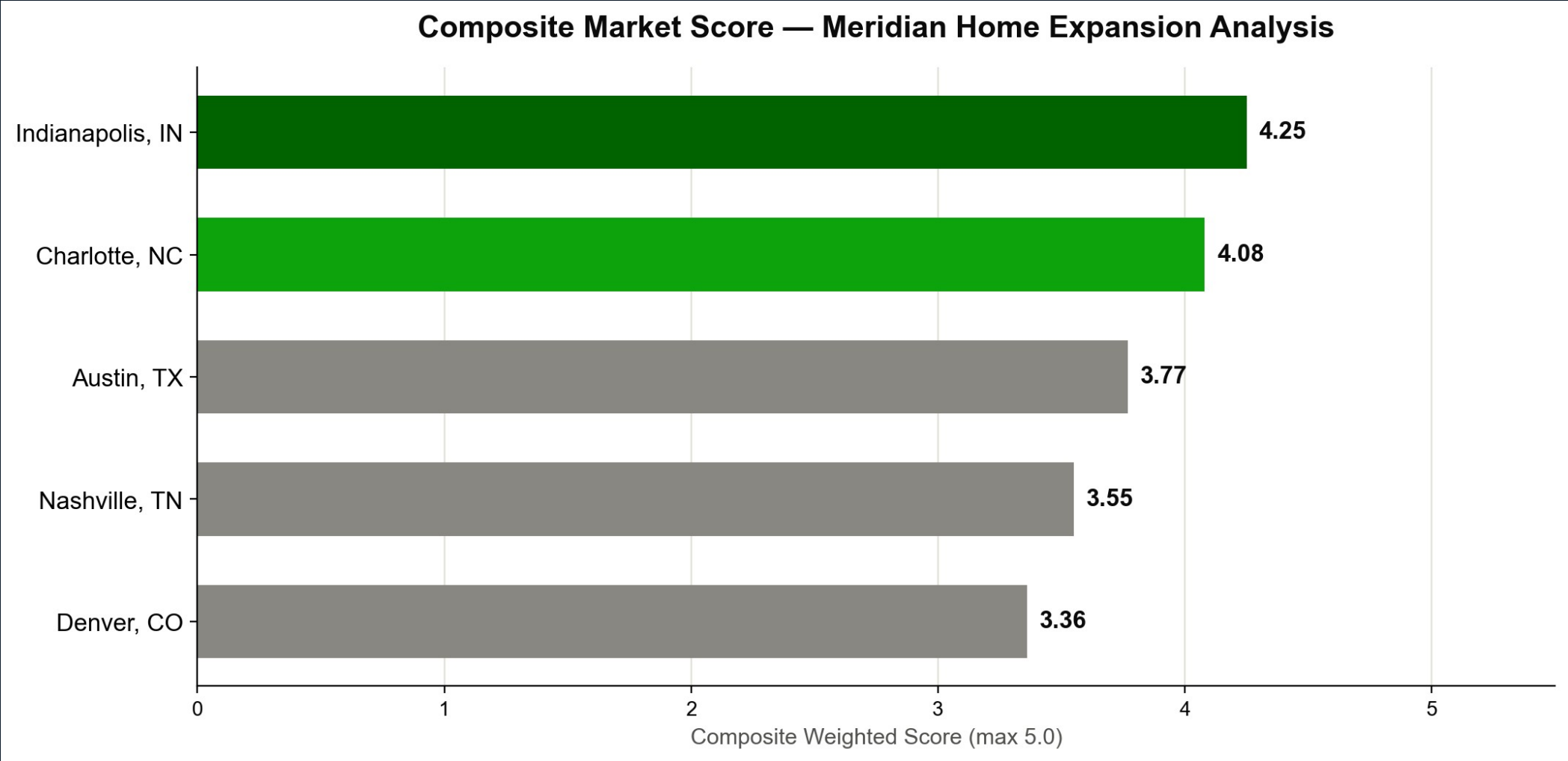
Issue Tree

- Is the market attractive? (size, income, housing, e-commerce penetration)
- Can Meridian compete effectively? (saturation, cannibalization, logistics)
- What is the financial return? (revenue, cost, breakeven, NPV)

7 Evaluation Dimensions

Population & Growth	15%
Income & Furnishing Spend	20%
Homeownership & Housing	20%
Competitive Saturation	20%
Retail Lease Cost	10%
Labor Cost	10%
Logistics Proximity	5%

Market Attractiveness Scorecard

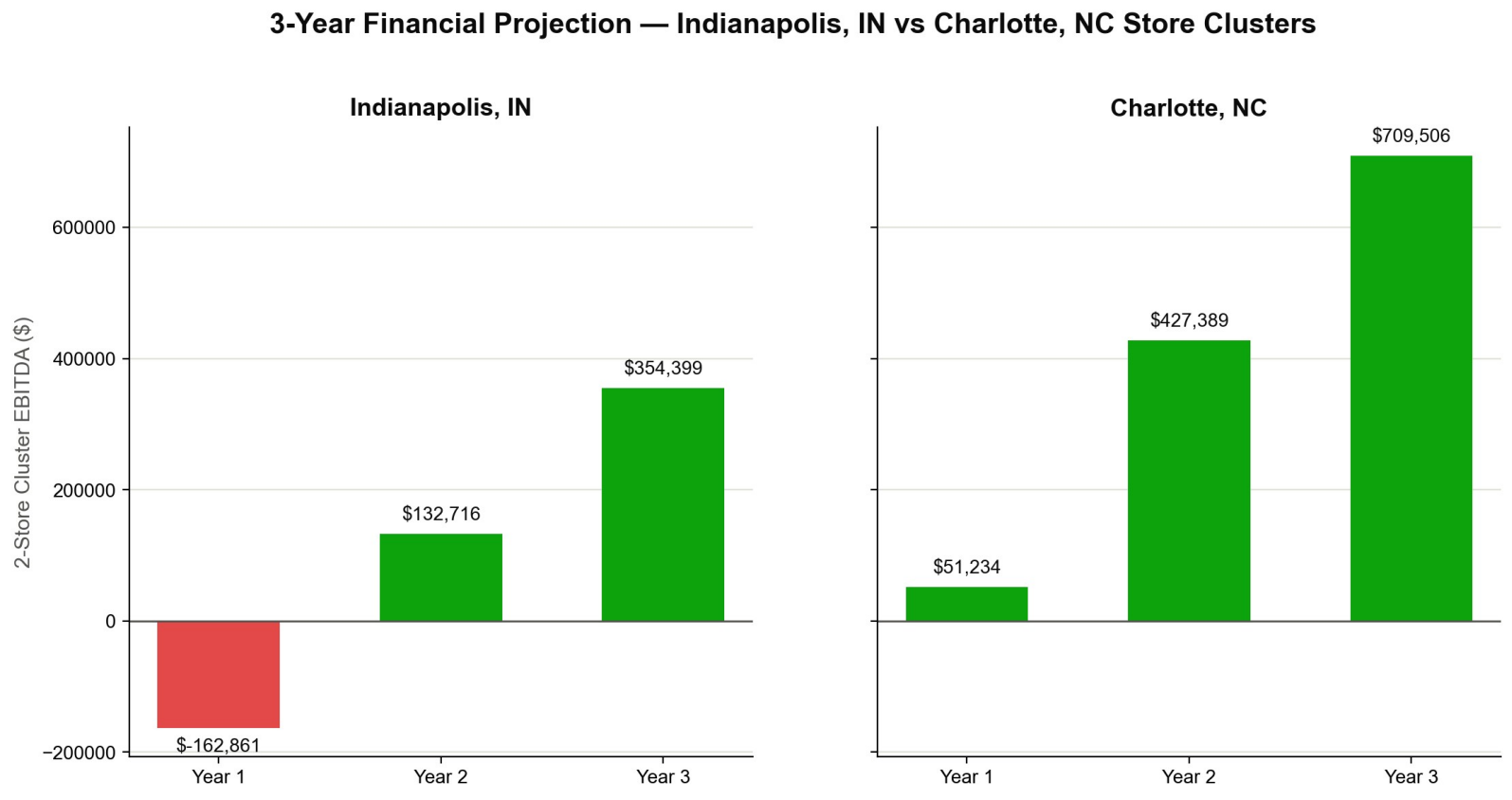


Competitive Saturation Analysis

Competitive Saturation — Store Counts by Brand and Metro					
Indianapolis, IN	1	1	1	1	1
Charlotte, NC	2	1	2	1	2
Austin, TX	1	1	1	1	1
Nashville, TN	1	1	2	1	2
Denver, CO	2	1	3	1	4
	Crate & Barrel	West Elm	Pottery Barn	RH	Williams-Sonoma

Indianapolis and Austin show the lowest direct competitor density (~0.21-0.24 per 100k population) — Charlotte offers a reasonable balance of growth and moderate competition (0.29 per 100k)

3-Year Financial Projection — Recommended Markets



Combined Year 3 EBITDA

\$1,063,905

Charlotte Payback Period

31 months

Combined Risk-Adj. NPV

-\$695,888

Key Risks and Mitigation

Risk	Probability	Mitigation
Combined NPV is negative at the modeled 4,500 sqft / 10-FTE format	High	Phase Indianapolis as a single pilot store; revisit store format (sqft, staffing) before the second store
Competitive response from West Elm or Pottery Barn	Medium	Pre-commit to Charlotte's 2-store cluster to establish critical mass before competitors react
Ramp-up slower than modeled (consumer awareness lag)	Medium	Year 1 budget includes incremental local marketing spend beyond the 3%-of-revenue baseline

18-Month Implementation Roadmap

- Month 1-2: Market validation (real estate broker engagement, trade area confirmation) — both markets
- Month 2-4: Charlotte site selection and LOI negotiation (2-store cluster)
- Month 4-6: Charlotte lease execution and buildout
- Month 6: Charlotte stores open — Q1 2026
- Month 6-8: Indianapolis single-store site selection and LOI (pilot format)
- Month 8-10: Indianapolis pilot buildout
- Month 10: Indianapolis pilot store opens
- Month 10-18: Performance monitoring against model; go/no-go decision on Indianapolis store #2